

tions, as an added precaution, either regularly or in special cases where there is reason to doubt the reliability of the earnings record as a measure of the future ability to meet bond interest. If this test is applied, it should be pointed out that a maximum ratio of 60% of debt to 40% of stock and surplus is proportionately more severe than a minimum earnings ratio of $1\frac{3}{4}$ times interest charges. It would be more consistent, therefore, to admit a bonded debt as high as 75% of the property value, or three times the amount of the stock and surplus.

Importance of a Real-Value Coverage Behind a Bond Issue. Our principal objection to the property-value criterion arises from the undoubted fact that the *book valuations of fixed assets* are highly unreliable as indications of the safety of a bond. But on the other hand we are convinced that a substantial margin of *going-concern value* over funded debt is not only important but even vitally necessary to assure the soundness of a fixed-value investment. Before paying standard prices for bonds of any enterprise, whether it be a railroad, a telephone company, or a department store, the investor must be convinced that the business is worth a great deal more than it owes. In this respect the bond buyer must take the same attitude as the lender of money on a house or a diamond ring, with the important difference that it is *the value of the business as an entity* which the investor must usually consider, and not that of the separate assets.

Going-Concern Value and Earning Power. "The value of the business as an entity" is most often entirely determined by its earning power. This explains the overshadowing significance that has come to be attached to the income exhibit, for the latter reveals not only the ability of the company to meet its interest charges, but also the extent to which the going value of the business may be said to exceed the *principal* of the bond issue. It is for this reason that most investors have come to regard the earnings record as the only statistical or quantitative test necessary in the selection of bond issues. All other criteria commonly employed are either qualitative or subjective (*i.e.*, involving personal views as to the management, prospects, etc.).

While it is desirable to make the tests of safe bonds as simple and as few as possible, their reduction to the single criterion of the margin of earnings over interest charges would seem to be a dangerous oversimplification of the problem. The earnings during the period examined may